



# **Summary Notes**

**Finance Weekly – August Week 2**  
**(09<sup>th</sup> to 15<sup>th</sup> 2026)**

## Preface

In our effort to provide you the most exam relevant content, we have collated the most important and relevant News from important news from newspapers which are important for your Finance paper. This summary is not sufficient for complete General Awareness/ ESI/ Finance preparation. This document is to be treated as a compliment to BeePedia

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## Government to Announce First VC Fund Managers for ₹1 Trillion RDI Fund

- The government is expected to announce the **first cohort of nearly 20 venture capital (VC) firms** selected as second-level fund managers (SLFMs) for the **₹1 trillion Research, Development & Innovation (RDI) Fund** in August 2026.

### Key Facts

- The RDI Fund has a total corpus of **₹1 trillion** and aims to support research, development and innovation, particularly technology-intensive companies and startups.
- **IvyCap Ventures, Speciale Invest, Chiratae Ventures and Kalaari Capital** are among the firms shortlisted in the first cohort.
- The first cohort is expected to comprise **nearly 20 Alternative Investment Funds (AIFs)**, with a second cohort likely in **October-November 2026**.
- The government received nearly **200 applications** for SLFMs, with around **80% coming from VC firms**.
- Other eligible applicants include **development finance institutions, non-banking finance corporations and focused research organisations**.

### Government Investment Framework

- The government can invest **up to 50%** of the amount in selected AIFs and become a **Limited Partner (LP)** in the fund.
- Applications generally involved fund sizes of around **₹2,000-2,500 crore**, meaning government participation could cover up to half of the fund size.
- The **Department of Science & Technology (DST)** is the nodal ministry responsible for the RDI Fund.

### Selection Criteria

- Fund managers are being selected through the **Quality and Cost-Based Selection (QCBS)** method.

- **Quality carries 80% weight**, focusing on the fund's ability to support startups and scale RDI-intensive technologies.
- **Cost carries 20% weight**, including management fees and related factors.
- The evaluation also considers investment-management capability, experience in supporting RDI-intensive technology companies and the ability to mobilise private capital.

### Budget & Implementation

- The **Union Budget 2026-27** allocated an additional **₹20,000 crore** to the RDI Fund.
- The government has not fixed a specific amount for investment through AIFs.
- **BIRAC** and the **Technology Development Board (TDB)** are nominated second-level managers, with **₹2,000 crore** earmarked for them in FY 2026-27.
- The government may conduct additional rounds of applications for selecting more second-level fund managers.

### Glossary

- **RDI Fund:** Research, Development & Innovation Fund created to support innovation and RDI-intensive technologies.
- **AIF:** Alternative Investment Fund, a privately pooled investment vehicle investing in assets such as startups and other businesses.
- **SLFM:** Second-Level Fund Manager, an investment partner selected to manage investments under the RDI Fund.
- **QCBS:** Quality and Cost-Based Selection, a selection method that evaluates bidders based on both quality and cost.
- **Limited Partner (LP):** An investor in a fund who contributes capital but generally does not participate in its day-to-day management.

**FCNR(B) Inflows Drive Demand for 3–5 Year Government Bonds**

- Strong mobilisation of **FCNR(B) deposits through the RBI's concessional forex swap window** has increased banking-system liquidity, prompting banks—especially foreign lenders—to invest in shorter-duration government securities and pushing their yields lower.

### Key Facts

- The **5-year government bond** has outperformed the 10-year benchmark since June as banks deployed liquidity generated through FCNR(B) inflows.
- Foreign banks have been particularly active buyers of **3–5 year government securities** because their relatively smaller retail and corporate loan books limit their ability to absorb the incoming liquidity through lending.
- The spread between the **5-year and 10-year government bond yields** widened from **19 basis points on June 1** to as much as **46 basis points** last week; it stood at **41 basis points on August 10**.
- The spread between the **10-year benchmark and 3-year bond yield** increased to **57 basis points** on August 10 from **45 basis points on June 1**.

### FCNR(B) Inflows

- Foreign banks had mobilised **more than \$8 billion** in FCNR(B) deposits by the end of July.
- **HSBC** alone accounted for more than **\$6 billion** of these deposits.
- Total inflows under the RBI facilities reached **\$40.82 billion as of July 31**, compared with **\$20.72 billion on July 17**.
- Of the total:
  - **FCNR(B) deposits:** \$36.73 billion
  - **Overseas foreign currency borrowings:** \$2.58 billion
  - **External commercial borrowings:** \$1.52 billion

### Liquidity & Bond Market Impact

- Banking-system surplus liquidity has remained above **₹3 trillion**, measured through funds parked with the RBI's liquidity adjustment facility.
- Banks are using surplus liquidity partly to replace **costly bulk deposits** raised earlier at higher interest rates.
- Excess liquidity is also flowing into **3–5 year government securities**, while banks remain cautious about taking longer-duration risk amid uncertainty over the pace of credit demand.
- Surplus liquidity has also contributed to lower rates in the **certificate of deposit (CD) market**.
- Market participants expect the **5-year/10-year bond yield spread to widen further by September**, ahead of the September 30 deadline for FCNR(B) mobilisation.

### RBI Swap Window

- The RBI's **US dollar-rupee forex swap facility** is available against fresh FCNR(B) deposits with a maturity of **3 to 5 years**.
- The facility is available until **September 30, 2026**.
- The inflows are also expected to reduce banks' dependence on bulk deposits and ease pressure on bulk deposit pricing.

### Outlook

- **SBI Research** has raised its estimate of FCNR(B) inflows during the entire window to **\$65–70 billion**, from its earlier estimate of \$40–45 billion.
- Including overseas foreign currency borrowings and external commercial borrowings, total inflows could reach **\$80–85 billion**.
- Banks that attract larger FCNR(B) deposits are expected to receive greater relief in their bulk deposit costs.

### Glossary

- **FCNR(B):** Foreign Currency Non-Resident (Bank) deposit, a foreign-currency deposit account that can be held by eligible non-resident Indians.
- **Forex Swap:** A transaction in which two parties exchange currencies and agree to reverse the transaction at a specified future date.
- **Duration Risk:** The risk that the value of a bond will fall when interest rates rise, with longer-duration bonds generally more sensitive to rate movements.
- **Basis Point (bp):** One-hundredth of a percentage point; 100 basis points equals 1 percentage point.
- **Certificate of Deposit (CD):** A short-term negotiable money-market instrument issued by banks to raise funds.

### Weekly Swap Schedule Delays RBI Receipt of FCNR(B) Dollar Inflows

- The RBI has assigned banks specific weekly slots to swap FCNR(B)-linked dollar inflows, creating a time lag between deposit mobilisation by banks and the transfer of dollars to the central bank.

### FCNR(B) Swap Mechanism

- Each participating bank can access the RBI's concessional **dollar-rupee swap window only once a week** on its designated day.
- Multiple banks may be assigned the same day.
- Dollars mobilised during the previous week are generally swapped when the bank's designated day arrives in the following week.
- As a result, dollars raised late in a week may remain temporarily on banks' books before being transferred to the RBI.

### Impact on Forex Reserves

- The weekly scheduling creates a **lag between FCNR(B) mobilisation and the RBI's receipt of dollars.**

- Therefore, the increase in banks' FCNR(B) deposits and the rise in the RBI's foreign currency assets may not move together on a particular reporting date.
- The timing of the swap depends on when deposits are mobilised relative to each bank's assigned swap day.

### RBI Swap Facility

- The RBI announced the concessional dollar-rupee swap facility on **June 5, 2026**, and operationalised it on **June 8**.
- The facility is available until **September 30, 2026**.
- It applies to fresh FCNR(B) deposits with original maturities of **3 to 5 years**.
- Banks can exchange the foreign currency raised through these deposits with the RBI at the prevailing **spot exchange rate**, with the RBI providing the currency back at maturity at a concessional cost.

### Banking System Liquidity

- The recent banking-system liquidity surplus above **₹3 trillion** has been attributed to FCNR(B)-linked inflows and around **₹1 trillion of government expenditure**.
- Net banking-system liquidity stood at **₹3.48 trillion surplus** as per the latest RBI data.
- The RBI conducted two **VRRR auctions** on Monday, with banks bidding a cumulative **₹1.54 trillion** against a notified amount of ₹2 trillion.
- The RBI planned a **three-day VRRR auction** on Tuesday to absorb **₹1.25 trillion** from the banking system.
- The **weighted average call rate** remained at **5.09%** on Monday.

### Glossary

- **FCNR(B)**: Foreign Currency Non-Resident (Bank) deposits maintained by eligible non-residents in foreign currencies.
- **VRRR**: Variable Rate Reverse Repo, an RBI liquidity-management operation used to absorb excess liquidity from banks.



- **Spot Rate:** The current exchange rate at which a currency can be exchanged for another currency.
- **Weighted Average Call Rate:** The average interest rate at which banks lend and borrow funds overnight in the interbank call money market.

### BSE to Enter Nifty 50, Replace Wipro from September 30

- **BSE Ltd.** will be included in the **Nifty 50 index**, replacing **Wipro**, following NSE Indices' semi-annual review, with the change effective **September 30, 2026**.

#### Key Facts

- BSE's inclusion is based on its higher **six-month average free-float market capitalisation of ₹1.40 trillion**.
- Wipro, the company being replaced, had a six-month average free-float market capitalisation of **₹55,930 crore**.
- BSE's free-float market capitalisation was at least **1.5 times** that of Wipro.
- BSE shares gained around **4%** on August 10 in anticipation of the inclusion and closed at **₹3,596 per share**.
- The reshuffle was announced by the **Index Maintenance Sub-Committee (Equity) of NSE Indices** as part of the periodic review of broad-market indices.

#### Eligibility & Other Changes

- Stocks included in the Nifty 50 must also be available for trading in the **NSE futures and options (F&O) segment**.
- BSE will also replace Wipro in the **Nifty50 Equal Weight Index**.
- Other companies, including **TVS Motor Company and Divi's Laboratories**, were not selected because their free-float market capitalisation did not meet the required threshold.

- NSE Indices also announced constituent changes in several other indices, including **Nifty 100, Nifty 500, Nifty Midcap 150, Nifty Smallcap 250 and Nifty Next 50**.

### Data Points

- **Effective date:** September 30, 2026
- **BSE six-month average free-float market capitalisation:** ₹1.40 trillion
- **Wipro six-month average free-float market capitalisation:** ₹55,930 crore
- **BSE share price after the rally:** ₹3,596
- **Day's gain:** 4%

### Glossary

- **Free-Float Market Capitalisation:** The market value of shares that are readily available for public trading, excluding shares held by promoters and other strategic holders.
- **Nifty 50:** India's benchmark stock-market index comprising 50 large and liquid companies listed on the NSE.
- **F&O:** Futures and Options, derivative contracts whose value is linked to an underlying asset such as a stock or index.

### Fitch Affirms India's BBB- Sovereign Rating with Stable Outlook

- **Fitch Ratings** retained India's sovereign credit rating at **BBB-**, the lowest investment-grade rating, with a **stable outlook**, supported by strong growth prospects and solid external finances despite high government debt and weak fiscal metrics.

### Growth Outlook

- Fitch projects India's GDP growth at **6.4% in FY27**, following **7.7% growth in FY26**.
- Medium-term growth potential is also estimated at **6.4%**, supported by public capital expenditure, recovery in private investment and favourable demographics.
- Fitch expects India's economy to remain resilient despite external shocks, including risks arising from the **US-Iran conflict** and higher energy prices.
- The agency expects inflation to average **4.1% in FY27**, compared with **2.1% in FY26**.
- Fitch expects the RBI to raise its policy rate by **25 basis points to 5.5%** later in 2026 to address second-round effects of the energy shock and El Niño risks.

### External Sector

- Fitch expects the **current account deficit (CAD)** to widen moderately to **1.4% of GDP in FY27**, from **0.6% of GDP in FY26**.
- India's foreign exchange reserves are estimated at **\$733 billion**, equivalent to around **7.4 months of imports**.
- The strong external position is one of the key factors supporting India's sovereign rating.

### Fiscal & Debt Concerns

- Fitch identified high government debt, large deficits and high debt-servicing costs as major constraints on India's rating.
- General government debt stood at **84.4% of GDP in FY26**, compared with a median of **57% for BBB-rated economies**.
- Fitch expects general government debt to decline gradually to around **79% of GDP by FY31**.
- The **interest-to-revenue ratio** was estimated at **23.7%**, significantly above the **8.4% median for BBB-rated economies**.
- The government aims to reduce its debt to around **50% of GDP by FY31**, requiring continued fiscal consolidation.

- The Centre's debt was around **58% of GDP in FY26**.

### Fiscal Outlook

- Fitch expects the general government deficit to decline from **7.5% of GDP in FY26 to 7.3% in FY27**.
- The central government is expected to meet its **4.3% of GDP FY27 fiscal deficit target**, although Fitch sees a risk of modest slippage.
- Higher fertiliser subsidies and excise-duty cuts could create additional fiscal pressure.
- India's debt structure partly mitigates the risk because borrowing is primarily from **deep domestic markets**, with limited foreign participation.
- Only **2.5% of government debt is denominated in foreign currency**, compared with a **30% median for BBB-rated economies**.



## Stable outlook maintained

India's sovereign credit rating by various global agencies

| Agency             | Rating | Outlook |
|--------------------|--------|---------|
| Fitch              | BBB-   | Stable  |
| Moody's            | Baa3   | Stable  |
| S&P Global Ratings | BBB    | Stable  |
| Morningstar DBRS   | BBB    | Stable  |

### Structural Constraints

- Fitch highlighted India's relatively weak **governance indicators and GDP per capita** compared with rating peers.

- Rising concerns over youth employment could increase pressure for government spending over time.
- Fitch also identified risks from a possible escalation of geopolitical tensions in West Asia and weaker monsoon conditions.

### Rating Assessment

- **Sovereign rating:** BBB-
- **Outlook:** Stable
- **FY27 GDP growth forecast:** 6.4%
- **FY26 GDP growth:** 7.7%
- **FY27 inflation forecast:** 4.1%
- **FY27 CAD forecast:** 1.4% of GDP
- **FY26 general government debt:** 84.4% of GDP
- **FY27 general government deficit forecast:** 7.3% of GDP
- **FY27 central fiscal deficit target:** 4.3% of GDP
- **Estimated FX reserves:** \$733 billion

### Glossary

- **Sovereign Credit Rating:** An assessment of a country's ability and willingness to repay its government debt.
- **BBB-:** Fitch's lowest investment-grade rating category; ratings below this level are considered speculative grade.
- **CAD:** Current Account Deficit, occurring when a country's payments for imports, income outflows and transfers exceed its corresponding external receipts.
- **Fiscal Deficit:** The excess of government expenditure over its revenue and non-debt capital receipts.
- **General Government Debt:** Combined debt of the central government and other levels of government.
- **FX Reserves:** Foreign exchange reserves held by the central bank to support external payments and manage financial stability.

- **Interest-to-Revenue Ratio:** The proportion of government revenue used to pay interest on outstanding debt.

### Unclaimed Bank Deposits in RBI's DEA Fund Reach ₹86,917 Crore

- Unclaimed bank deposits transferred to the **RBI's Depositor Education and Awareness (DEA) Fund** stood at **₹86,917 crore** as of **June 30, 2026**, with SBI accounting for nearly one-fourth of the total.

### Key Facts

- **State Bank of India (SBI)** had the highest amount of unclaimed deposits in the DEA Fund at **₹20,040 crore**.
- It was followed by:
  - **Punjab National Bank:** ₹7,585 crore
  - **Canara Bank:** ₹6,830 crore
  - **Bank of Baroda:** ₹5,848 crore
  - **Union Bank of India:** ₹5,549 crore
- Among private sector banks:
  - **ICICI Bank:** ₹2,278 crore
  - **HDFC Bank:** ₹1,912 crore
  - **Axis Bank:** ₹1,734 crore

### DEA Fund & Claims

- Savings and current accounts that remain **inoperative for 10 years** are classified as unclaimed deposits.
- Term deposits that remain unclaimed for **10 years after maturity** are also transferred to the DEA Fund.
- Banks transfer such deposits to the **DEA Fund maintained by the RBI**.

- The fund is used to promote **depositors' interests** and for other activities considered necessary for depositor welfare.
- Banks can reclaim amounts from the fund when they subsequently pay the rightful claimants.
- As of June 30, banks had been reimbursed **₹17,415 crore** from the DEA Fund for payments made to rightful claimants.

### Measures to Recover Unclaimed Deposits

- The RBI has directed banks to conduct periodic **special drives** to trace customers, nominees and legal heirs of inoperative accounts.
- Banks must update their lists of unclaimed deposits on their websites **every month**.
- Banks are also required to conduct **awareness and financial literacy campaigns**.
- The Department of Financial Services launched a **common landing portal** to help people recover unclaimed deposits, insurance claims, shares, dividends and mutual fund investments.

### Data Points

- **Total unclaimed deposits in DEA Fund:** ₹86,917 crore
- **SBI:** ₹20,040 crore
- **PNB:** ₹7,585 crore
- **Canara Bank:** ₹6,830 crore
- **Amount reimbursed to banks:** ₹17,415 crore
- **Cut-off date:** June 30, 2026

### Glossary

- **DEA Fund:** Depositor Education and Awareness Fund maintained by the RBI for unclaimed deposits transferred by banks.

- **Unclaimed Deposit:** A bank deposit that remains unclaimed for the prescribed period of 10 years.
- **Inoperative Account:** A savings or current account in which there have been no customer-induced transactions for 10 years.

### Sebi Proposes Common Vaulting Framework for Bullion ETFs and Derivatives

- **Sebi** has proposed expanding its **Vault Managers Regulations, 2021** beyond gold underlying Electronic Gold Receipts (EGRs) to physical bullion held for ETFs, bullion derivatives and other Sebi-regulated bullion products.

#### Key Facts

- The proposed framework would establish **common standards for bullion vaulting services** across different financial products.
- It aims to strengthen:
  - Investor protection
  - Operational resilience
  - Transparency and auditability
  - Risk management
  - Regulatory supervision
- Sebi plans to make existing EGR-specific provisions **product-neutral** so that common requirements apply regardless of the financial product linked to the stored bullion.
- Product-specific procedures may continue to be prescribed through separate operational guidelines where required.

#### Proposed Regulatory Changes

- Sebi plans to revise definitions and provisions related to:
  - Vaulting services



- Bullion standards
- Operations and risk management
- Audit and inspection
- Reconciliation
- Reporting
- A new **consolidated circular** is also proposed to cover the EGR framework and vaulting guidelines for all Sebi-specified bullion-related instruments.
- The framework would cover **deposit, storage, transfer and withdrawal** of bullion.
- It would also include requirements relating to **security, insurance, cyber security, business continuity, audit and grievance redressal**.

### Reason for the Proposal

- Sebi said the review was driven by the growth of **physically backed precious-metal products** and the increasing quantity of physical gold and silver held in custody for investors.
- A common framework is intended to ensure consistent standards for **vault infrastructure, governance, purity verification, operational controls and risk management**.

### Data Points

- **Existing framework:** Sebi Vault Managers Regulations, 2021
- **Current focus:** Gold underlying EGRs
- **Proposed coverage:** EGRs, bullion ETFs, bullion derivatives and other Sebi-specified bullion instruments
- **Bullion covered:** Physical gold and silver, among other applicable bullion assets

### Glossary

- **EGR:** Electronic Gold Receipt, a regulated electronic instrument representing ownership of physical gold stored with an authorised vault manager.

- **ETF:** Exchange-Traded Fund, an investment fund whose units are traded on a stock exchange.
- **Vault Manager:** An entity responsible for the secure storage and custody of physical bullion underlying regulated financial products.
- **Bullion Derivatives:** Financial contracts whose value is linked to precious metals such as gold or silver.

### Sebi Proposes Wider FPI Participation in Non-Agricultural Commodity Derivatives

- **Sebi** has proposed allowing **Foreign Portfolio Investors (FPIs)** greater access to exchange-traded non-agricultural commodity derivatives to improve liquidity, market depth and price discovery while introducing safeguards against physical delivery obligations.

#### Key Proposals

- FPIs would be allowed to trade **non-agricultural index derivatives** irrespective of whether the underlying commodity contracts are cash-settled or physically settled.
- Currently, FPIs can participate only in **cash-settled non-agricultural derivatives** where the underlying contracts are also cash settled.
- Sebi noted that index derivatives themselves are always **cash settled**, so their underlying settlement mechanism does not create a delivery issue for FPIs.
- FPIs would also be allowed to participate in **physically settled/non-cash-settled non-agricultural commodity derivatives** traded on domestic exchanges.

#### Commodities Covered

- The proposal would cover derivatives linked to major commodities such as:
  - Crude oil

- Natural gas
- Gold
- Silver
- Base metals
- These commodities are closely linked to international benchmarks.

### Benefits Expected

- Broaden the participant base in India's commodity derivatives market.
- Improve **market liquidity and depth**.
- Strengthen **price discovery**.
- Improve convergence between **derivatives and physical commodity markets**.
- Increase integration of India's commodity derivatives market with **global commodity markets**.

### Safeguards for Physical Contracts

- FPIs would have to **square off or roll over** their positions before the beginning of the tender period, which starts **three days before expiry (T-3)**.
- If an FPI fails to do so voluntarily, its open position would be **automatically transferred** to the proprietary account of a designated Trading Member (TM) or Trading-cum-Clearing Member (TCM).
- The automatic transfer would occur **after market hours on T-1**, at the exchange's closing price or daily settlement price.
- After the transfer, the FPI would have **no further obligation or exposure** related to the position, including tender or physical delivery.

### Two-Tier Risk Management

- Sebi has proposed a **layered/two-tier safeguard mechanism** because relying only on voluntary squaring-off could create risks.
- FPIs would need either:

- A **tripartite agreement** with a Professional Clearing Member and Trading Member, or
- A **bipartite agreement** with a Trading-cum-Clearing Member.
- Exchanges would standardise the format and key terms of these agreements.
- The designated TM/TCM would have up to **two trading days** to bring transferred positions within its prescribed position limits.
- The agreement may include a **Proprietary Risk Absorption Charge** payable by the FPI for the risk and margin burden arising from an involuntary position transfer.

### Reason for Delivery Safeguard

- FPIs are generally not permitted to take or make physical delivery in India because they do not have a **permanent establishment** in the country.
- Even if FPIs use brokers or trading members for delivery, they may be required to obtain **GST registration** to buy or sell commodities in India.
- The proposed mechanism therefore aims to prevent FPIs from reaching the physical delivery stage.

### Regulatory Timeline

- Sebi's **Commodity Derivatives Advisory Committee (CDAC)** has supported the proposal.
- Sebi has invited public comments on the proposals and draft circular until **September 1, 2026**.

### Glossary

- **FPI:** Foreign Portfolio Investor, a foreign investor registered to invest in India's financial markets.
- **ETCD:** Exchange-Traded Commodity Derivative, a commodity derivative contract traded on a recognised exchange.
- **Square Off:** Closing an existing position by taking an opposite position.

- **Roll Over:** Extending a derivative position from the current expiry to a later expiry.
- **T-3:** Three trading days before the expiry of a derivative contract, marking the beginning of the tender period in the proposed framework.
- **TCM:** Trading-cum-Clearing Member, a market intermediary that performs both trading and clearing functions.

### Indian Semiconductor Startups Raise \$206 Million Since 2022

- Homegrown semiconductor startups have raised around **\$206 million across 51 funding rounds since 2022**, with investment accelerating in 2026 as investors increasingly back more mature chip ventures.

### Funding Trends

- Semiconductor startups raised **\$61.9 million in H1 2026**, equivalent to **81% of the \$76.6 million raised during the whole of 2025**.
- Funding rounds declined even as capital deployed increased:
  - **2024:** 16 rounds
  - **2025:** 13 rounds
  - **H1 2026:** 7 rounds
- The trend indicates greater investor concentration on startups that have progressed further in **product development and commercialisation**.

### Government-Private Capital Link

- Of the **24 chip-design projects** supported under the **Design-Linked Incentive (DLI) programme**, **14 subsequently raised institutional venture capital**.
- These 14 companies collectively raised **\$100.8 million** across their first and second funding rounds.

- **Six companies** have already completed follow-on funding rounds worth a combined **\$53.6 million**.
- **C2i Semiconductors, NetraSemi, Morphing Machines and Mindgrove Technologies** together account for approximately **56% of private capital raised by DLI-backed companies**.

### Sector Maturity

- Several semiconductor startups are progressing rapidly from seed funding to **Series A** rounds, with some doing so within **7–22 months**.
- Seven recent Series A rounds highlighted in the report collectively raised **\$73.7 million**.
- This amount represents around **one-third of all semiconductor startup capital raised in India since 2022**.
- The trend indicates growing investor confidence in startups that have moved beyond early-stage technology development.

### Strategic Investment

- Strategic investors such as **Zoho and TDK Ventures** have participated as anchor investors in funding rounds.
- Global semiconductor companies are increasingly taking **equity positions** in Indian startups rather than limiting their presence to captive R&D centres.
- Strategic investment can provide startups with access to **fabs, tool credits, reference customers and design partnerships**, in addition to funding.

### Emerging Technology Areas

- India's semiconductor startup ecosystem is expanding beyond its earlier focus on **digital chips, RISC-V and edge SoCs**.
- Newer areas include:
  - Photonics
  - Power and compound semiconductors

- Fab tooling and metrology
- AI data-centre silicon
- AI-driven semiconductor design workflows
- Analogue AI inference

## Data Points

- **Total funding since 2022:** \$206 million
- **Total funding rounds since 2022:** 51
- **H1 2026 funding:** \$61.9 million
- **2025 funding:** \$76.6 million
- **DLI-backed projects:** 24
- **DLI-backed companies raising institutional VC:** 14
- **Funding raised by these 14 companies:** \$100.8 million
- **Seven recent Series A rounds:** \$73.7 million

## Glossary

- **DLI:** Design-Linked Incentive, a government programme supporting semiconductor design activities in India.
- **RISC-V:** An open-standard instruction set architecture used for designing processors and other chips.
- **SoC:** System-on-Chip, an integrated circuit combining multiple computing and functional components on a single chip.
- **Photonics:** Technology involving the generation, control and use of light, including for communication and computing.
- **Fab:** Semiconductor fabrication facility where integrated circuits are manufactured.
- **Metrology:** Measurement and inspection technology used to ensure precision and quality in semiconductor manufacturing.

## RBI Finalises Borrower Protection Rules for Loan Recovery from January 2027

- The **RBI's final directions on loan recovery** will come into force from **January 1, 2027**, introducing standardised rules for recovery-agent conduct, borrower contact, device restrictions and compensation for violations.

### Key Borrower Safeguards

- Recovery agents can contact borrowers only between **8 AM and 7 PM**, unless the borrower consents to contact outside these hours.
- A borrower must receive at least **one day's notice before the first physical recovery visit**.
- Borrowers must be informed if their recovery agency changes.
- Lenders must publish updated lists of their **empanelled recovery agencies**.
- Physical-visit agents must carry identification, written authorisation, advance-visit notice and grievance-officer contact details.
- Borrowers' preferred contact time or mode should be respected, and unannounced visits are prohibited.
- Repeated contacts on the same day after the borrower has already responded are prohibited.

### Prohibited Recovery Practices

- Recovery agents cannot use:
  - Abusive, threatening or intimidating language
  - Excessive calls or messages
  - Threatening or anonymous calls
  - Threats or acts of violence
  - Public humiliation of borrowers, relatives, friends or colleagues
  - Inappropriate messages
  - Online publication of borrowers' videos, audio or personal information
  - False claims about the debt or consequences of non-payment



## Device-Locking Rules

- Lenders generally cannot remotely lock borrowers' devices unless the **device itself was financed**.
- For financed devices, locking is permitted only when:
  - The loan agreement allows it.
  - The borrower receives the required notices.
  - The device is subject to the prescribed overdue timeline.
  - The locking mechanism is manufacturer/operating-system certified, where available.
- The rules provide a staged process before restrictions are imposed, with restrictions on a financed device possible only after the prescribed **90-day overdue timeline** if dues remain unpaid.
- Even when restrictions are permitted, **calls, SMS and SOS functionality must remain active**, with outgoing calls restricted only after the prescribed period.

## Data & Privacy Protection

- Lenders and their technology partners cannot access a borrower's **contacts, messages, call logs, photographs or location history** for loan recovery.
- Safety and connectivity features of the device must also be protected.
- The rules aim to prevent lenders from using device access or personal data as coercive recovery tools.

## Compensation & Accountability

- Lenders remain responsible for the conduct of their recovery agencies and agents.
- Lenders must conduct due diligence and periodically verify recovery agents.
- Recovery policies must provide for **compensation for non-compliant recovery practices or agent misconduct**.
- Wrongful restrictions or delayed restoration can attract compensation of **₹250 per hour**.

- Once a borrower regularises the account, the lender must restore device functionality within **one hour**.
- After full repayment, the lender must relinquish control of the device-locking mechanism and provide instructions for its removal where required.

### Implementation Challenges

- The rules apply a common, board-approved recovery policy across **nine categories of regulated lenders**, including banks, cooperative banks and NBFCs.
- Compliance costs may rise because lenders will need systems for call-record preservation, agent verification and automated device unlocking.
- Third-party subcontracting networks could make monitoring recovery agents more difficult.
- There is also a risk that lenders could attempt to bypass contact-hour restrictions through **unregulated digital channels, automated bots or informal skip-tracing**.
- Recovery calls and related records will need to be preserved for **six months**.

### Data Points

- **Effective from:** January 1, 2027
- **Permitted contact hours:** 8 AM–7 PM
- **Minimum notice before first physical visit:** 1 day
- **Compensation for wrongful restriction/delayed restoration:** ₹250 per hour
- **Device restoration after regularisation:** Within 1 hour
- **Call-record preservation:** 6 months
- **Device restriction timeline:** Restrictions on financed devices can apply after the prescribed 90-day overdue process, subject to required notices and conditions.

### Glossary

- **Recovery Agent:** A person or agency engaged by a lender to contact borrowers and recover overdue loans.
- **NBFC:** Non-Banking Financial Company, a financial institution that provides services such as lending but is not a commercial bank.
- **Days Past Due (DPD):** The number of days a loan repayment has remained overdue.
- **Empanelled Agency:** A recovery agency formally approved and engaged by a lender.
- **Remote Device Locking:** Technology that allows a lender to restrict access to a financed device when specified contractual and regulatory conditions are met.